HD Hyundai Electric (267260 KS)

Profitability robust despite FX pressure

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3Q26 preview

HD Hyundai Electric likely posted 3Q26 sales of W1.12tn (+13.0% YoY, -1.5% QoQ), OP of W299.1bn (+21.1% YoY, +4.2% QoQ) and OPM of 26.6%, in line with consensus. The profit contribution of North American shipments likely contracted as won appreciation in 3Q26 was reflected in the forex rate at the time of revenue recognition, but high-margin UHV transformer shipments and product mix improvements likely continued. New orders will likely moderate slightly HoH in 2H26, but the company should be able to achieve its annual order target. As the conversion of high-margin order backlog into sales continues, high profitability in the upper-20% range will likely be sustained.

2027 outlook: expanding from UHV to data center power distribution

We estimate 2027 sales at W5.45tn (+19.3% YoY), OP at W1.65tn (+37.4% YoY), and OPM at 30.3%. Capacity expansion in Alabama and the conversion of high-margin UHV orders into sales will likely spearhead earnings growth. The long-term master framework agreement with a Big Tech firm signed in July is worth W1.12tn, consisting of W567.3bn in power equipment and W553.9bn in power distribution equipment. This strategically adds a new product line of data center distribution to the existing UHV transformer-centered North American business. Once individual orders materialize from 2027, the scope of products supplied to each customer should expand, enhancing the mid- to long-term growth platform.

We maintain BUY and our target price of W1,165,000. Trading at a 2028E P/E of 14.8x, shares are deeply undervalued compared to global peers. Backed by solid profitability, expanding shipments from the Alabama capacity expansion and the actual conversion of the Big Tech framework agreement into firm purchase orders (PO) will likely serve as the primary catalysts for further share upside.

BUY (M)

Target price	W1,165,000 (M)
Previous target price	W1,165,000
Current price (Oct 06)	W683,000
Upside potential	71%

Market cap (Wbn)	24,620
Shares outstanding	36,047,135
Avg daily T/O (2M, Wbn)	105
Avg daily volume (2M, shrs)	143,599
52-week high/low (won)	1,420,000 / 583,000
Foreign ownership (%)	33.91%
Dividend yield (%)	0.92%
Major shareholders	HD Hyundai & others

Stock performance

(%)	1M	3M	12M
Absolute	(4.3)	(26.5)	9.3
Relative	(7.8)	(14.7)	(44.1)
Abs (US$)	(3.9)	(16.3)	13.9

Quarterly earnings

(Wbn)	3Q26E	% YoY	% QoQ	Consens	vs consens (%)
Sales	1,125	13.0	-1.5	1,195	-5.9
OP	299	21.1	4.2	318	-6.1
Pre-tax net profit	310	23.8	11.2	313	-0.9
Net profit, CI	230	20.4	11.4	240	-4.3
OPM (%)	26.6	+1.8 %pt	+1.5 %pt	26.6	0
NPM (%)	20.5	+1.3 %pt	+2.4 %pt	20.1	+0.4 %pt

Note: CI = controlling interest

Forecasts and valuations (K-IFRS, consolidated) (Wbn)

FY ends Dec	2024A	2025A	2026E	2027E
Sales	3,322	4,079	4,572	5,454
OP	669	995	1,200	1,650
Net profit, CI	502	733	914	1,257
P/E (x)	18.6	25.1	26.9	19.6
P/B (x)	6.2	9.0	9.1	6.7
EV/EBITDA (x)	12.5	16.5	18.3	12.9
ROE (%)	39.3	41.5	38.7	39.6

Source: Yuanta Securities

For analyst certification and other important disclosures, refer to the Appendix at the end of this report.

HD Hyundai Electric: earnings forecast (Wbn)

	1Q25	2Q25	3Q25	4Q25	1Q26	2Q26	3Q26E	4Q26E	2025	2026E	2027E
Sales	**1,014.7**	**906.2**	**995.4**	**1,163.2**	**1,036.5**	**1,141.8**	**1,124.9**	**1,269.2**	**4,079.5**	**4,572.4**	**5,453.9**
Power equipment	463.7	484.0	587.8	525.0	564.0	535.9	646.6	551.3	2,060.5	2,297.7	2,905.8
Rotating equipment	166.8	146.0	143.4	132.5	184.8	159.9	158.0	146.0	588.7	648.6	721.1
Distribution equipment	179.2	192.3	175.0	185.4	135.9	231.2	228.5	242.1	731.9	837.6	940.8
Subsidiaries/consol adj	205.0	83.9	89.2	320.3	151.8	214.8	91.9	329.9	698.4	788.4	886.2
% YoY	***26.7%***	***-1.2%***	***26.2%***	***42.6%***	***2.2%***	***26.0%***	***13.0%***	***9.1%***	***22.8%***	***12.1%***	***19.3%***
Power equipment	*46.1%*	*28.2%*	*87.7%*	*-9.6%*	*21.6%*	*10.7%*	*10.0%*	*5.0%*	*29.7%*	*11.5%*	*26.5%*
Rotating equipment	*17.1%*	*4.2%*	*9.2%*	*7.5%*	*10.8%*	*9.5%*	*10.2%*	*10.2%*	*9.6%*	*10.2%*	*11.2%*
Distribution equipment	*-24.9%*	*-24.4%*	*0.1%*	*-7.3%*	*-24.2%*	*20.2%*	*30.6%*	*30.6%*	*-15.7%*	*14.4%*	*12.3%*
Subsidiaries/consol adj	*99.8%*	*-42.1%*	*-47.3%*	*TTB*	*-25.9%*	*156.0%*	*3.0%*	*3.0%*	*112.5%*	*12.9%*	*12.4%*
% of sales											
Power equipment	45.7%	53.4%	59.0%	45.1%	54.4%	46.9%	57.5%	43.4%	50.5%	50.3%	53.3%
Rotating equipment	16.4%	16.1%	14.4%	11.4%	17.8%	14.0%	14.0%	11.5%	14.4%	14.2%	13.2%
Distribution equipment	17.7%	21.2%	17.6%	15.9%	13.1%	20.2%	20.3%	19.1%	17.9%	18.3%	17.2%
Subsidiaries/consol adj	20.2%	9.3%	9.0%	27.5%	14.6%	18.8%	8.2%	26.0%	17.1%	17.2%	16.2%
OP	**218.2**	**209.1**	**247.1**	**320.9**	**258.3**	**287.0**	**299.1**	**356.0**	**995.3**	**1,200.4**	**1,649.9**
% YoY	*69.4%*	*-0.4%*	*50.8%*	*93.0%*	*18.4%*	*37.2%*	*21.1%*	*10.9%*	*48.8%*	*20.6%*	*37.4%*
% OPM	21.5%	23.1%	24.8%	27.6%	24.9%	25.1%	26.6%	28.0%	24.4%	26.3%	30.3%

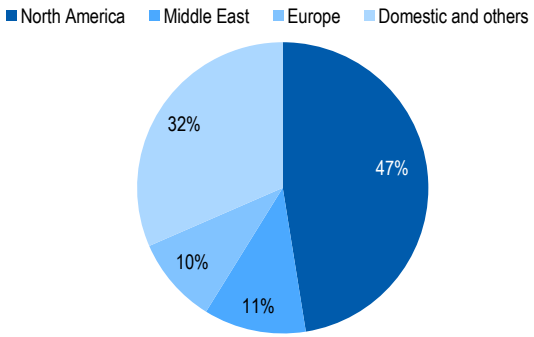
Note: TTB = turn to black
Source: Yuanta Securities

UHV transformer peers: valuation **(Wbn, $mn, JPYbn, EURmn)**

		HD Hyundai Electric	LS Electric	Hyosung Heavy Ind	Sanil Electric	Iljin Electric	PWR	GEV	HUBB	Hitachi	"Siemens Energy"
Market cap		**24,620**	32,625	26,174	7,201	4,192	102,748	263,670	25,394	25,975	125,256
Sales	2025	**4,080**	4,966	5,969	502	2,045	28,480	38,068	5,845	10,587	39,077
	2026E	**4,572**	6,611	7,231	663	2,371	39,565	46,240	6,869	11,957	44,191
	2027E	**5,454**	8,556	9,748	885	2,522	45,746	53,029	7,525	13,007	50,589
	2028E	**6,449**	10,590	12,707	1,177	2,663	51,662	60,985	7,952	14,047	57,241
OP	2025	**995**	426	747	179	151	1,612	1,388	1,209	1,132	2,149
	2026E	**1,200**	740	1,117	249	254	2,635	4,427	1,598	1,510	5,162
	2027E	**1,650**	1,155	1,774	338	285	3,223	8,034	1,802	1,728	7,218
	2028E	**2,077**	1,618	2,641	446	314	3,821	11,429	1,934	1,996	9,407
OPM (%)	2025	**24.4%**	8.6%	12.5%	35.6%	7.4%	5.7%	3.6%	20.7%	10.7%	5.5%
	2026E	**26.3%**	11.2%	15.5%	37.6%	10.7%	6.7%	9.6%	23.3%	12.6%	11.7%
	2027E	**30.3%**	13.5%	18.2%	38.2%	11.3%	7.0%	15.2%	23.9%	13.3%	14.3%
	2028E	**32.2%**	15.3%	20.8%	37.9%	11.8%	7.4%	18.7%	24.3%	14.2%	16.4%
Net profit, CI	2025	**733**	287	520	149	104	1,028	4,884	887	802	1,414
	2026E	**914**	578	710	213	178	2,559	7,170	1,090	983	3,837
	2027E	**1,257**	902	1,152	288	205	2,991	6,642	1,204	1,164	5,325
	2028E	**1,659**	1,230	1,978	376	250	3,558	9,285	1,314	1,345	6,857
P/E (x)	2025	**38.1**	48.2	31.9	26.6	25.0	57.3	35.9	26.3	25.8	61.0
	2026E	**26.9**	56.4	36.9	33.7	23.6	40.1	36.8	23.3	26.4	32.6
	2027E	**19.6**	36.2	22.7	25.0	20.5	34.4	39.7	21.1	22.3	23.5
	2028E	**14.8**	26.5	13.2	19.2	16.7	28.9	28.4	19.3	19.3	18.3

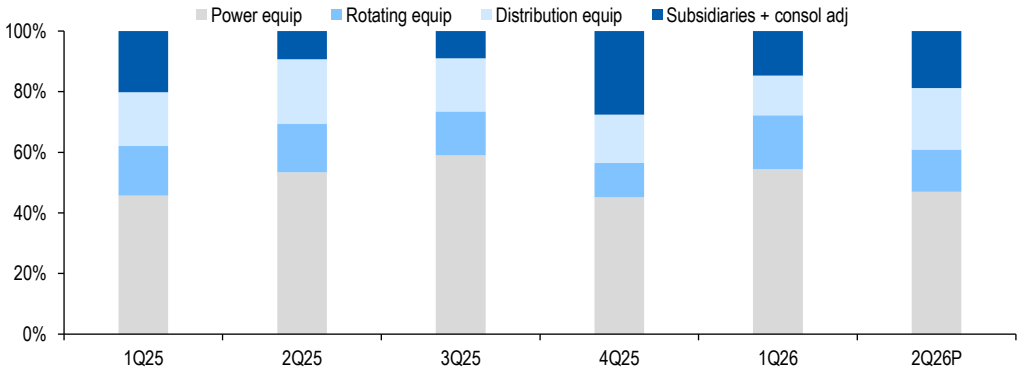
Note: CI = controlling interest; Korean firms are our estimates; market cap as of Oct 6, 2026
Source: Bloomberg, Yuanta Securities

HD Hyundai Electric: 2Q26 sales breakdown by region



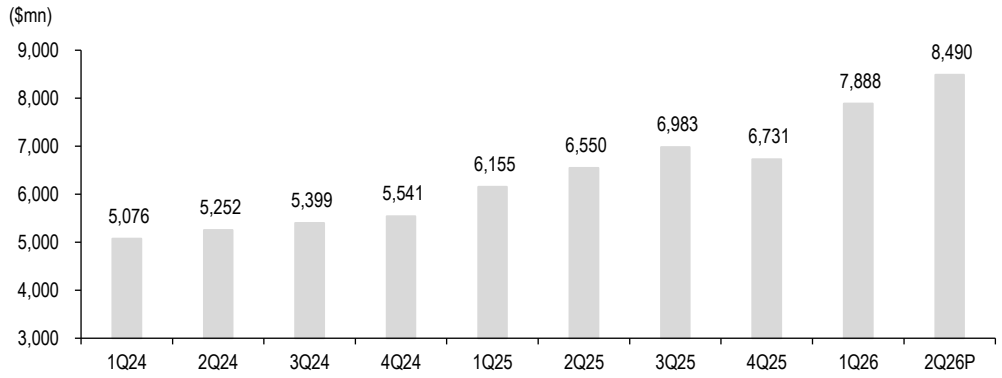
Source: company data, Yuanta Securities

HD Hyundai Electric: sales breakdown by business



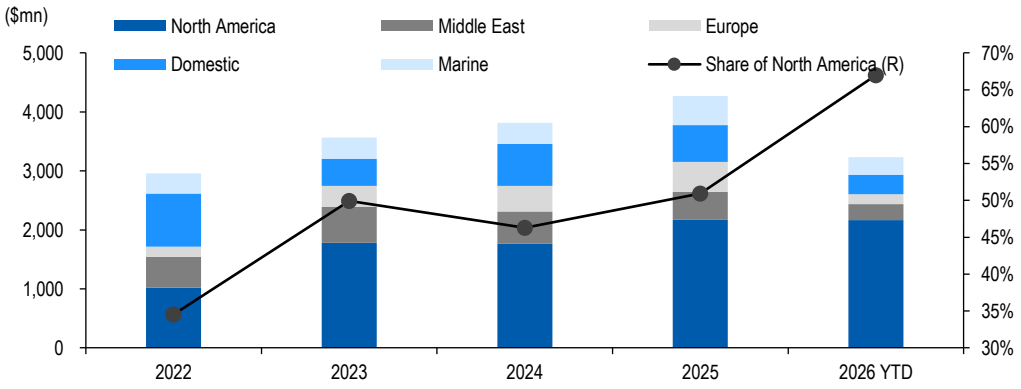
Source: company data, Yuanta Securities

HD Hyundai Electric: quarterly new orders



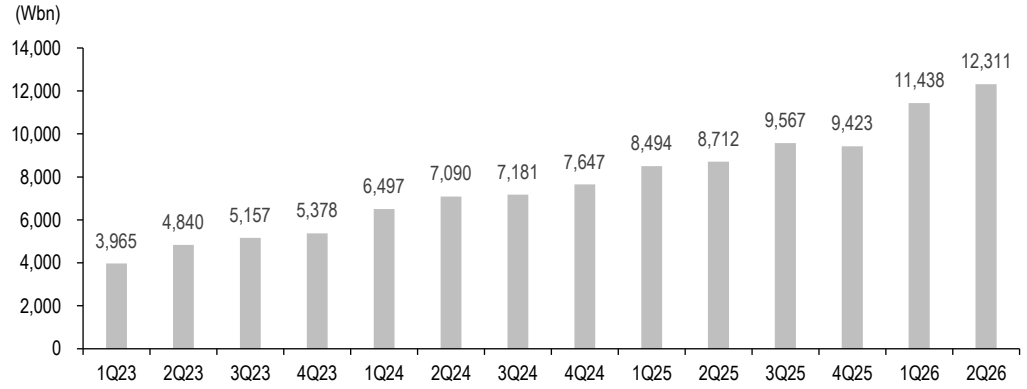
Source: company data, Yuanta Securities

HD Hyundai Electric: new orders by region and share of North America



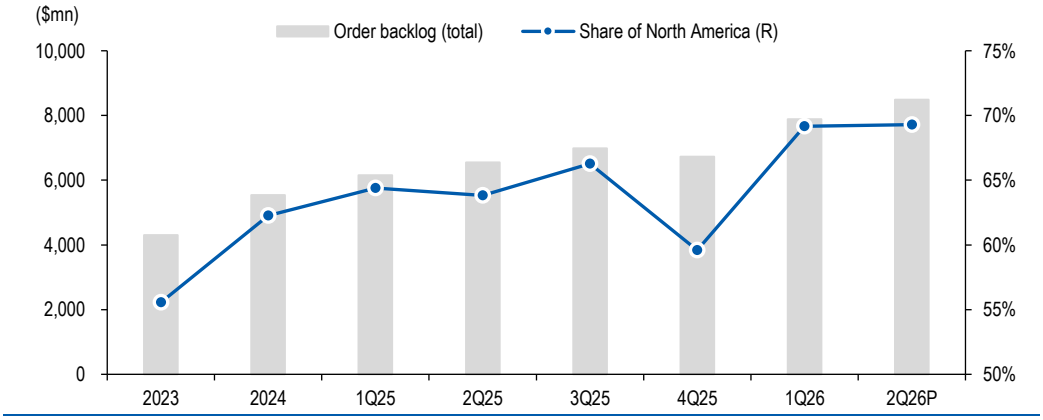
Source: company data, Yuanta Securities

HD Hyundai Electric: order backlog



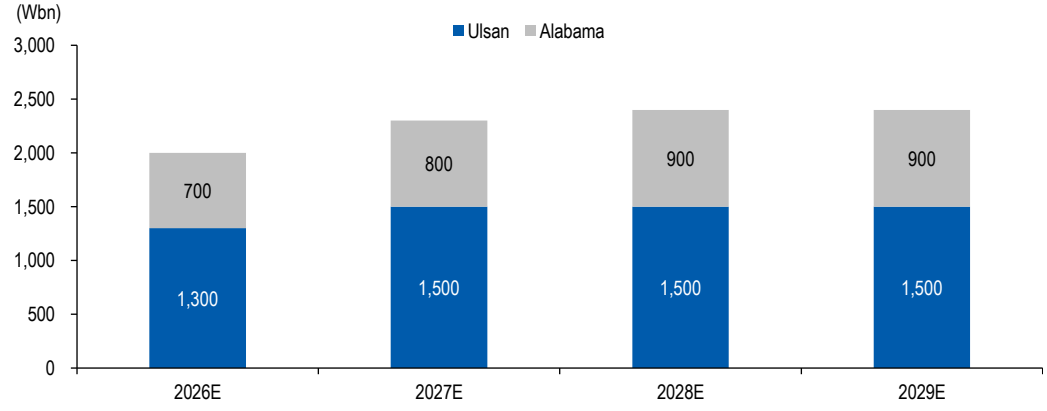
Source: company data, Yuanta Securities

HD Hyundai Electric: share of North America in order backlog



Source: company data, Yuanta Securities

HD Hyundai Electric: UHV capacity and forecast



Note: productivity-adjusted estimate
Source: company data, Yuanta Securities

HD Hyundai Electric (267260 KS) pro forma financial statements (K-IFRS, consolidated)

Statement of comprehensive income

FY ends Dec (Wbn)	2024A	2025A	2026E	2027E	2028E
Sales	**3,322**	**4,079**	**4,572**	**5,454**	**6,449**
Cost of sales	2,278	2,687	2,953	3,297	3,734
Gross profit	1,045	1,393	1,619	2,157	2,715
SG&A	376	398	419	507	637
Operating profit	**669**	**995**	**1,200**	**1,650**	**2,077**
EBITDA	734	1,069	1,276	1,737	2,166
Non-operating profit	-19	-39	17	25	75
Forex gains	85	-30	50	20	20
Net interest income	-16	8	26	50	85
Equity-method gains	0	0	0	0	0
Other	-88	-17	-60	-45	-30
Net prof before income tax	650	956	1,217	1,674	2,152
Income tax	152	225	304	419	495
Net profit from continuing ops	498	732	913	1,256	1,657
Net profit from discontinued ops	0	0	0	0	0
Net profit	498	732	913	1,256	1,657
NP for controlling interest	**502**	**733**	**914**	**1,257**	**1,659**
Total comprehensive income	522	748	942	1,259	1,660
Total comprehensive income, CI	526	748	942	1,258	1,659

Statement of financial position

FY ends Dec (Wbn)	2024A	2025A	2026E	2027E	2028E
Current assets	**2,764**	**3,426**	**4,324**	**5,714**	**7,676**
Cash & cash equivalents	570	951	1,551	2,406	3,765
Accounts receivables & other	831	772	864	1,031	1,219
Inventory	1,081	1,267	1,420	1,693	2,002
Non-current assets	1,032	1,344	1,414	1,517	1,499
Tangible assets	730	943	995	1,112	1,140
Investment in affiliates	0	0	0	0	0
Other investment assets	6	9	9	9	10
Total assets	**3,796**	**4,770**	**5,738**	**7,230**	**9,175**
Current liabilities	2,001	2,549	2,840	3,361	3,948
Accounts payable & other	501	608	681	813	961
ST financial liabilities	20	19	19	19	19
Liquid LT liabilities	107	120	120	120	120
Non-current liabilities	287	188	203	212	233
LT financial liabilities	30	0	0	0	0
Debentures	137	47	62	67	72
Total liabilities	**2,288**	**2,737**	**3,043**	**3,572**	**4,181**
Equity, controlling interest	1,502	2,029	2,691	3,656	4,994
Paid-in capital	180	180	180	180	180
Capital surplus	402	402	402	402	402
Retained earnings	816	1,323	1,956	2,918	4,253
Equity, non-controlling interest	6	4	3	2	0
Total equity	**1,508**	**2,033**	**2,695**	**3,658**	**4,994**
Net debt	**-204**	**-700**	**-1,294**	**-2,158**	**-3,514**
Total debt	400	274	283	280	288

Cash flow statement

FY ends Dec (Wbn)	2024A	2025A	2026E	2027E	2028E
Operating cash flow	**1,034**	**960**	**1,020**	**1,252**	**1,610**
Net profit	498	732	913	1,256	1,657
Depreciation & amortization	57	65	68	80	82
Forex gains	0	0	-50	-20	-20
Affiliate investment gains	0	0	0	0	0
Increase in net working cap	361	193	65	-88	-132
Other	117	-31	24	24	23
Investing cash flow	**-143**	**-226**	**-126**	**-205**	**-119**
Investment	0	1	0	-1	-1
Increase in tangible assets	-122	-234	-120	-197	-110
Decrease in tangible assets	0	1	0	0	0
Other	-21	6	-6	-8	-8
Financing cash flow	**-518**	**-350**	**-275**	**-301**	**-319**
ST financial liabilities	-274	-28	4	7	8
Debenture/LT financial liabilities	-71	-98	5	-10	0
Equity	0	0	0	0	0
Cash dividend	-76	-221	-281	-295	-324
Other cash flow	-97	-3	-3	-3	-3
Consolidation adj and other	21	-3	-19	110	187
Increase in cash & equivalents	**394**	**381**	**600**	**855**	**1,359**
Beginning cash & equivalents	176	570	951	1,551	2,406
Ending cash & equivalents	570	951	1,551	2,406	3,765
NOPLAT	669	995	**1,200**	**1,650**	**2,077**
FCF	**912**	**726**	**900**	**1,055**	**1,500**

Valuation

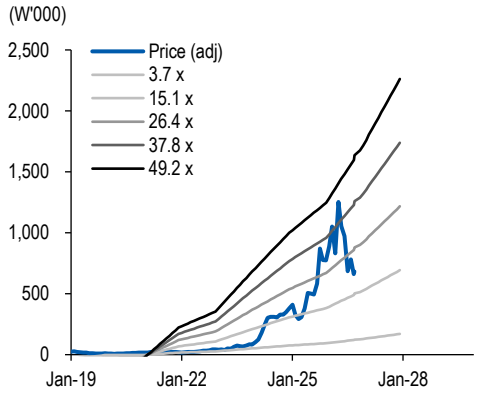
FY ends Dec	2024A	2025A	2026E	2027E	2028E
EPS (won)	13,914	20,324	25,348	34,876	46,021
BPS (won)	41,725	56,366	74,778	101,581	138,746
EBITDA/shr (won)	20,368	29,656	35,390	48,178	60,076
SPS (won)	92,167	113,171	126,845	151,300	178,901
DPS (won)	5,350	7,100	8,100	8,700	9,500
P/E (x)	**18.6**	**25.1**	**26.9**	**19.6**	**14.8**
P/B (x)	**6.2**	**9.0**	**9.1**	**6.7**	**4.9**
EV/EBITDA (x)	**12.5**	**16.5**	**18.3**	**12.9**	**9.7**
P/S (x)	**2.8**	**4.5**	**5.4**	**4.5**	**3.8**

Key financial data

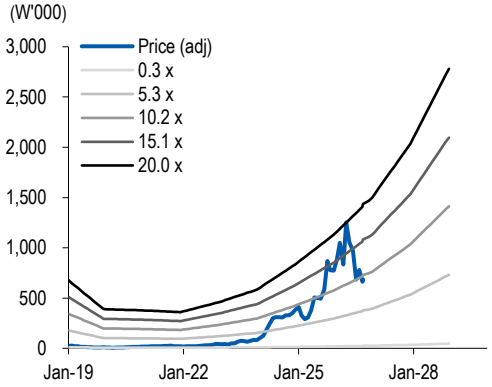
FY ends Dec	2024A	2025A	2026E	2027E	2028E
Sales (% YoY)	**22.9**	**22.8**	**12.1**	**19.3**	**18.2**
Operating profit (%YoY)	**112.2**	**48.8**	**20.6**	**37.4**	**25.9**
Net profit, CI (%YoY)	**93.5**	**46.1**	**24.7**	**37.6**	**32.0**
Gross margin (%)	31.4	34.1	35.4	39.5	42.1
Operating margin (%)	**20.1**	**24.4**	**26.3**	**30.3**	**32.2**
Net margin, CI (%)	15.1	18.0	20.0	23.1	25.7
EBITDA margin (%)	22.1	26.2	27.9	31.8	33.6
ROIC (%)	40.1	68.5	80.1	104.1	126.8
ROA (%)	15.0	17.1	17.4	19.4	20.2
ROE (%)	**39.3**	**41.5**	**38.7**	**39.6**	**38.4**
Debt-to-equity (%)	151.8	134.6	112.9	97.7	83.7
Net debt-to-equity (%)	-13.6	-34.5	-48.1	-59.0	-70.4
OP/financing cost (x)	22.6	59.3	86.6	117.8	147.0

Note: CI = controlling interest
Operating profit calculation same as K-GAAP (sales - COGS - SG&A exp)
EPS, BPS, P/E and P/B are based on controlling interest
For valuation metrics such as P/E, historical figures are based on annual average prices and estimates, on current price
For ROA or ROE, assets and equity are averages of end-of-year figures for the given year and the year prior
Source: Yuanta Securities

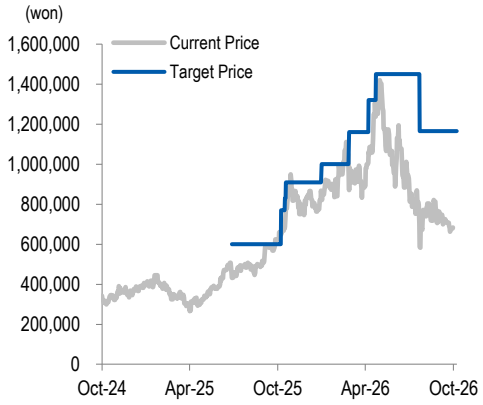
P/E band chart



P/B band chart



HD Hyundai Electric (267260 KS) ratings and target price history



Date	Rating	TP (won)	TP time frame	Difference (%)	
				vs avg price	vs high (low)
2026/10/07	BUY	1,165,000	1 yr		
2026/07/29	BUY	1,165,000	1 yr		
2026/04/29	BUY	1,450,000	1 yr	-29.50	-2.07
2026/04/14	BUY	1,320,000	1 yr	-13.80	-1.06
2026/03/04	BUY	1,160,000	1 yr	-19.42	-13.19
2026/01/06	BUY	1,000,000	1 yr	-7.10	11.10
2025/10/24	BUY	910,000	1 yr	-9.47	4.29
2025/10/22	BUY	830,000	1 yr	-10.12	-10.12
2025/10/14	BUY	770,000	1 yr	-12.23	-11.04
2024/05/10	Not Rated	-	1 yr		

Note: Difference = (actual price* - target price) / target price x 100
* 1) The average price until the day target price was suggested
2) The highest (lowest) price until the day target price was suggested
Source: Yuanta Securities

Rating	Share (%)
STRONG BUY	0
BUY	96.9
HOLD	3.1
SELL	0
Total	100.0

Note: As of Oct 07, 2026 Excluding reports written or published by overseas affiliates

Appendix: Important disclosures

Analyst certification

I/We, as the research analyst/analysts who prepared this research report, do hereby certify that the views expressed in this report accurately reflect my/our personal views about the subject securities discussed in this report.

Stock and sector ratings

- **Stock ratings** include an Investment Rating (Strong Buy, Buy, Hold, Sell) based on the expected absolute return of a stock over the next 6 -12 months.
- **- Strong Buy:** Expected to return 30% or more
  - Buy: Expected to return between 15% and 30%
  - Hold: Expected to return between -15 and +15%
  - Sell: Expected to return -15% or less
- **Sector ratings** suggest 6 to 12 - month forward investment weighting of a given sector compared to its market capitalization weighting.
  - Overweight: Investment weighting is higher than the market capitalization weighting
  - Neutral: Investment weighting is equal to the market capitalization weighting
  - Underweight: Investment weighting is lower than the market capitalization weighting

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